

Types of Demand Forecasting

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Passive Demand Forecasting

- • Uses past demand data to predict future demand.
- • Ignores impact of new policies or changes.
- • Simple and based on extrapolation.

Active Demand Forecasting

- • Considers impact of new policies, plans, and actions.
- • More dynamic and accurate than passive forecasting.

Firm-Level Demand Forecasting

- • Forecasts demand for an individual firm's product.
- • Also called micro demand forecasting.

Industry-Level Demand Forecasting

- • Forecasts demand for an entire industry.
- • Helps understand industry-wide market trends.

National-Level Demand Forecasting

- • Forecasts aggregate demand at the macroeconomic level.
- • Useful for government planning and economic policy.

Short-Term Demand Forecasting

- • Forecast period less than 1 year.
- • Helps in pricing, sales targets, and daily operations.

Long-Term Demand Forecasting

- • Forecast period of 5 years or more.
- • Useful for expansion, diversification, financial planning.

Medium-Term Demand Forecasting

- • Forecast period between 1 to 5 years.
- • Helps in promotional planning and design improvements.

Ex-Ante Forecasting

- • Forecasts made for future periods.
- • Used for proactive planning.

Ex-Post Forecasting

- • Forecasts based on past data to test credibility of models.
- • Used for checking accuracy of earlier predictions.

Total Market Forecasting

- • Estimates demand for an entire market.
- • Useful for overall industry strategy.

Market Segment Forecasting

- • Forecasts demand for a specific region or group.
- • Helps in targeted marketing and segmentation.